CSR CASE ANALYSIS · HBS CASE 9-906-414

IKEA's Global Sourcing Challenge

Indian Rugs and Child Labor (A)

Ethical sourcing, supply-chain complexity & strategic decision-making



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Case facts + team analysis

The Indian supply chain that makes IKEA's rugs cheap is also where its biggest ethical risk sits

Business value

Cost competitiveness
Low-cost production supports IKEA's low prices

Supplier relationships
Long-term partners, not one-off deals

Quality
Traditional hand-knotting skill

Delivery reliability
Established, export-ready producers



Same supply chain, two outcomes

Ethical & reputational risk

Ethical sourcing
Children at looms instead of in school

Brand reputation
IKEA's name is on the product

Consumer expectations
Buyers in Germany & Sweden watch closely

Media & NGO scrutiny
Two TV exposés in two years

CASE QUESTION *How should IKEA respond when its global sourcing model creates economic value but exposes the company to serious ethical and reputational risks?*

Source: HBS case 9-906-414, Bartlett, Dessain & Sjöman (2006), pp. 1–8

Case facts + team analysis

IKEA's sourcing model is built for cost and partnership, but its view fades after Tier 1

Tier 0	**IKEA of Sweden** Sets design, range and price	■■■■■	Full
Office	**Trading service offices** 24 offices in 19 countries	■■■■□	High
Tier 1	**Exporters, e.g. Rangan Exports** Sign contract + child-labour clause	■■■□□	Partial
Tier 2	**Subcontractors** Loom owners taking overflow orders	■■□□□	Low
Tier 3	**Village & home looms** Family-run, dispersed, informal	■□□□□	Minimal
Workers	**Weavers & their families** Where child labour actually occurs	□□□□□	None

2,300 suppliers

70 countries

11,200 products

SOURCING PRINCIPLES

Own no factories
Partner with suppliers instead

Long-term partners
Loans, technology transfer

Buy capacity, not products
Ski makers built chairs off-season

Stay cheaper or lose the order
A cheaper source wins the order

Source: HBS case 9-906-414, Bartlett, Dessain & Sjöman (2006), pp. 2–3, 5. Visibility squares = team assessment.

Case facts + team analysis

India pairs centuries-old weaving skill with low-cost, labour-intensive production



Traditional hand-knotting skill → **Low-cost, labour-heavy production** → **Global sourcing opportunity**

> India is IKEA's **biggest source of carpets and rugs**, in an industry employing an estimated 200,000 children.

1. **Bhadohi, near Varanasi (UP)** · The most important cluster
2. **Jaipur (Rajasthan)** · Woollen and silk carpets
3. **Bikaner (Rajasthan)** · Woollen and silk carpets
4. **Agra & Gwalior** · Other important production centres
5. **Kashmir** · Hand-knotted silk carpets

Skilled craft | **Established clusters** | **Competitive costs** | **Export-oriented**

Sources: HBS 9-906-414, p. 7; Handloom Export Promotion Council; map: Natural Earth (India view)

Case facts + team analysis

Child labour builds up quietly through poverty, informality and subcontracting

1 **Economic vulnerability** — Poverty and household debt

→ 2 **Informal employment** — Home looms, family labour

→ 3 **Subcontracting** — Orders pushed down the chain

→ 4 **Limited visibility** — Buyers rarely visit looms

→ 5 **Child-labour risk** — Including bonded labour

→ 6 **IKEA exposure** — Ethical, brand and legal

11.3 M
children under 15 working in India
Govt. of India, 1991 census

60–115 M
child labourers in India
Human Rights Watch estimate

≈200,000
children in the carpet industry
Estimate cited in the case

$30–300
family debts (₹1,000–10,000) behind bonded child labour
Case, p. 7

Estimates differ five- to tenfold, and that gap is itself a finding. The law banned bonded labour (1976) but allowed children in family crafts (1986).

Source: HBS case 9-906-414, Bartlett, Dessain & Sjöman (2006), p. 7. Risk chain = team analysis.

Case facts

A second TV exposé in 1995 made a supplier's breach IKEA's crisis

1992
Billy bookcase scare
Formaldehyde; $6–7 M cost

1994
Swedish TV exposé
Child weavers in Pakistan; IKEA named

1994
IKEA responds
Clause, ILO advice, monitor

Late 1994
Barner visits the region
India, Nepal, Pakistan; Rugmark invite

Spring 1995
German TV targets Rangan
Live-debate invitation; decision due May

HOW A BREACH TRAVELS

Supplier breach
Rangan Exports breaks its signed clause

→

IKEA named
Its brand is on the rug

→

Media & NGOs amplify
Confrontational German TV film

→

Consumers react
Germany = 29.7% of IKEA sales

→

Brand & sales hit
Precedent: Denmark sales −20%

IKEA employs no children, but its name is on the rug.

Source: HBS case 9-906-414, Bartlett, Dessain & Sjöman (2006), pp. 5–8; Exhibit 4

Team analysis

The children are most affected but have the least power; media and customers set the pace

KEEP SATISFIED

- Government of India & courts
- Export promotion councils

MANAGE CLOSELY

- IKEA leadership & Barner
- Tier-1 suppliers (Rangan)
- German & Swedish TV
- Key-market customers

MONITOR

- Competing importers
- Customers in other markets

KEEP INFORMED · EMPOWER

- Child weavers & families
- Save the Children
- UNICEF & ILO
- Rugmark Foundation

Top row = more power over the outcome · Right column = more interest

What each group needs

Stakeholder	Core interests
IKEA	Brand, cost, supply, ethics
Suppliers	Margins, compliance, orders
Workers & families	Income, welfare, schooling
NGOs & activists	Rights, accountability
Customers	Ethics, low prices, trust
Governments	Law, enforcement, trade

Matrix placement: team assessment based on HBS 9-906-414

Team analysis

IKEA has four broad responses, and the faster ones do the least for the children

	1 · Exit	2 · Audit & enforce	3 · Partner & fix	4 · Community action
What IKEA does	Stop buying Indian rugs	Tighter audits; cancel violators (or join Rugmark)	Help suppliers remove child labour	Schools, family income, NGO partners
Advantages	Fast; removes direct exposure	Visible, contractual, low cost	Keeps supply; raises standards	Tackles root causes; most credible
Disadvantages	Children may shift to worse work	Can push child labour out of sight	Slower; costlier than rivals	Costly; outside IKEA's expertise
Short → long term	PR relief → no influence left	Quick signal → cat-and-mouse	Disruption → stronger suppliers	Slow start → fewer child workers
Complexity	Low	Medium	High	High

Options can be combined; 2 is the floor. Derived from Barner's choices, HBS 9-906-414, pp. 1, 8

Team analysis

No single option wins outright; partnering with suppliers plus community action scores highest

Criterion	Weight	Exit	Audit	Partner	Community
Ethical impact on children	25%	1	3	4	5
Brand / reputation protection	20%	3	3	4	4
Supply continuity	15%	1	4	4	3
Financial impact	15%	3	3	3	2
Implementation feasibility	15%	5	3	3	2
Long-term sustainability	10%	1	2	4	5
Weighted score (out of 5)	100%	2.30 (4th)	3.05 (3rd)	3.70 (1st)	3.60 (2nd)

Scores are our judgement

1 = poor, 5 = strong. Not case data; others may score differently.

Why ethics is weighted most

A CSR decision; the case's test is the best interest of the child.

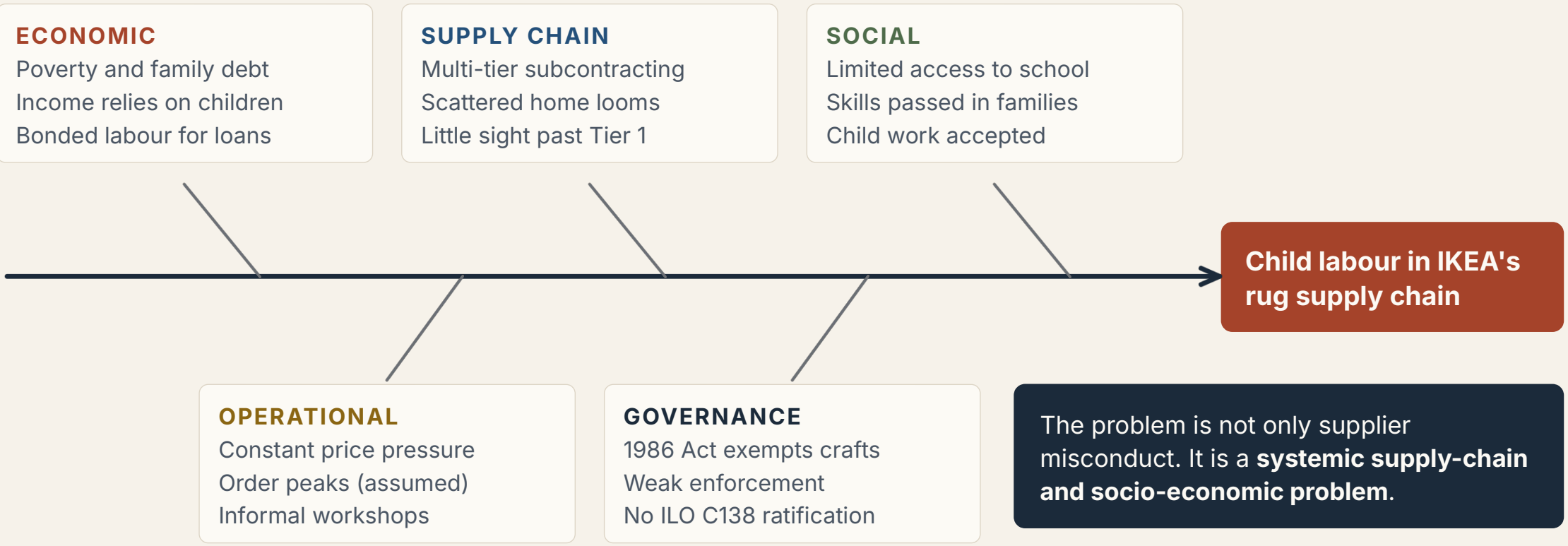
Robust to the weights

Partner stays 1st if feasibility gets 30% (3.60) or finance 25% (3.65).

Weighted scoring: team analysis. Criteria and weights as set for this exercise.

Case facts + team analysis

Five sets of causes explain why a contract clause alone could not stop child labour



The problem is not only supplier misconduct. It is a **systemic supply-chain and socio-economic problem**.

Source: HBS 9-906-414, pp. 6–7. Structure = team analysis; 'assumed' = not in the case.

10 · RECOMMENDATION

Team analysis

Engage, monitor, remediate, rather than simply exit

ENGAGE	MONITOR		REMEDIATE		SUSTAIN	
1	2	3	4	5	6	7
Code of conduct	**Independent audits**	**Tier-2/3 visibility**	**Corrective action plans**	**Education & community**	**Supplier incentives**	**Transparent reporting**
Zero tolerance, every tier	Announced and unannounced	Map every workshop and home loom	Deadlines and measurable fixes	Schooling and income support	Longer contracts for compliance	Publish progress and incidents

APPLIED TO MAY 1995: THREE IMMEDIATE CALLS

Rangan Exports

Investigate; freeze new orders until a fix, including school places for the children, is agreed.

German TV debate

Take part: admit the gap, explain the actions, don't defend the supplier.

Rugmark

Cooperate, but keep IKEA's own monitoring; a label can't see home looms.

Team recommendation, building on options 3 + 4 (slides 8–9)

Team analysis

A 12-month roadmap moves IKEA from crisis response to a built-in system

0–3 months
Contain & diagnose

- ✓ Map suppliers and subcontractors
- ✓ Investigate Rangan immediately
- ✓ Risk-assess every rug supplier
- ✓ Enforce the supplier code

Gate
Every Tier-1 supplier re-signed and mapped

3–6 months
Audit & correct

- ✓ Independent audits
- ✓ Corrective action plans
- ✓ Worker and family interviews
- ✓ Sign NGO partnerships

Gate
Every violation has a dated corrective plan

6–12 months
Build capability

- ✓ School and community programmes
- ✓ Supplier capability building
- ✓ Compliance dashboard live

Gate
First programmes running in the weaving villages

12+ months
Embed & report

- ✓ Continuous monitoring
- ✓ Public progress reporting
- ✓ Supplier performance reviews

Gate
Annual public report on child labour

Team proposal. Gates = conditions to meet before moving to the next phase.

Team analysis

Ten KPIs turn ethical sourcing into a managed system

COVERAGE

Suppliers audited

100%

of Tier-1 yearly, ≥1 unannounced

COVERAGE

Tier-2/3 suppliers mapped

≥80%

of loom capacity within 12 months

COVERAGE

Supplier compliance rate

≥95%

of audited suppliers compliant

REMEDIATION

Child-labour incidents

100%

reported; aim for a falling trend, not zero finds

REMEDIATION

Corrective actions closed

≥90%

by the agreed deadline

REMEDIATION

Average remediation time

≤90 days

from finding to verified fix

REMEDIATION

Repeat violations

0

a second strike triggers exit

CHILD OUTCOMES

School enrolment

100%

of children removed from looms, tracked

CHILD OUTCOMES

Grievances resolved

≥90%

within 30 days

BUSINESS

Supply disruption

<5%

of rug volume affected

Targets are proposed by the team, to be set against a baseline in the first 90 days.

13 · FINAL TAKEAWAY

For IKEA, ethical sourcing is not simply a compliance problem. It is a supply-chain design problem.

Cost efficiency + **Supplier relationships** + **Human rights** + **Brand trust**

The long-term goal is a sourcing ecosystem where ethical compliance is built into supplier operations, rather than treated as a periodic audit exercise.

DISCUSSION **Should a global company exit a high-risk sourcing market, or use its influence to transform the supply chain?**